AIR NEW ZEALAND

PREMIUM PROPOSITION REVIEW

Is Air NZ's premium passenger experience keeping pace with its premium pricing — and what is the loyalty risk if it isn't?

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Analysis Period: 2022 – 2024 | Routes: AKL-SYD · AKL-SIN | March 2026

All figures sourced from Air NZ Annual Reports, Cirium, Skytrax, SeatGuru and official press releases.

EXECUTIVE SUMMARY — FIVE KEY FINDINGS

01 Pricing — Emerging Route Divergence

Air NZ is priced 5.89% below Qantas on AKL-SYD and cannot command a price premium on its most competitive route. Materiality threshold of 5% met.

02 Observed Product-Price Mismatch — AKL-SIN

Air NZ priced 9.53% above Singapore Airlines on AKL-SIN. Observed product indicators — fare flexibility, aircraft type, satisfaction rating — favour SQ at lower price.

03 Operational Performance — Declining Trend

OTP declined 2.1pp from 2023 peak to 77.58% in 2024. Advantage over Qantas narrowed from 9.3pp to 3.65pp. 787 grounding removed an estimated 14,390 Business Premier seats over 209 days.

04 Loyalty Economics — Competitive, Increasing Dependency

Airpoints returns 4.89% per flight vs 3.94% for KrisFlyer — programme value remains competitive. Satisfaction rated 5/10 vs SQ 7/10. Loyalty economics may be offsetting variability in experience metrics.

05 $82.6M Revenue Exposure at ~3% Churn

Scenario modelling shows commercial exposure at 3% churn (~$82.6M est.). Compounding pressure scenario reaches $137.7M. Sensitivity range $27.5M–$137.7M across reasonable assumption variation.

Summary: Premium pricing and experience delivery show emerging divergence on selected routes. Pricing advantage absent on AKL-SYD; pricing premium on AKL-SIN not supported by observed product indicators. OTP declining from 2023 peak. Loyalty economics remain competitive and are carrying increasing retention weight as experience metrics soften.

INDUSTRY CONTEXT — POST-PANDEMIC PREMIUM YIELD NORMALISATION

01 Global Premium Yield Normalisation

Premium cabin yields peaked globally in 2022-2023 as pent-up demand followed post-COVID reopening. Yield normalisation from FY2024 onward is an industry-wide trend, not isolated to Air NZ. IATA data confirms premium yield compression across major carriers from 2023 peak.

02 Corporate Travel Recovery — Uneven

Corporate and government travel demand recovery has been uneven globally. Air NZ specifically acknowledged softer corporate and government demand reducing Business Premier loads and yields in FY2024 — consistent with broader industry patterns rather than carrier-specific failure.

03 Fleet Constraints — Industry-Wide Engine Issues

Rolls Royce Trent 1000 engine failures affected multiple 787 operators globally including Air NZ, Virgin Australia, and British Airways. Air NZ's 787 grounding is part of an industry-wide maintenance challenge — not a unique operational failure. Capacity constraints were structurally imposed, not self-generated.

04 Premium Cabin Investment — Global Competitive Reinvestment

Carriers globally are reinvesting heavily in premium cabin product — new business suites, lounge upgrades, and loyalty programme enhancements. Air NZ's Business Premier Luxe retrofit and lounge investment are responses to this competitive dynamic, not isolated decisions. The context is one of accelerating competitive reinvestment across the premium aviation segment.

05 Why Context Matters for This Analysis

This analysis does not conclude that Air NZ is uniquely underperforming. It identifies specific route-level pricing and experience dynamics that warrant attention in a globally competitive premium environment — particularly as competitors reinvest and fleet constraints temporarily compress capacity and reliability metrics.

Context Note: Yield normalisation, uneven corporate travel recovery, and fleet-wide engine constraints are documented industry trends for the analysis period. Air NZ findings should be interpreted against this backdrop — the analytical focus is on route-specific divergence and loyalty dependency, not a broader indictment of Air NZ's commercial position.

CONTEXT & PROBLEM FRAMING — ANALYTICAL FRAMEWORK

ROUTES & COMPETITIVE PAIRS

AKL–SYD

Auckland to Sydney
Comparison: Air NZ vs Qantas
Focus: Trans-Tasman pricing, OTP reliability

AKL–SIN

Auckland to Singapore
Comparison: Air NZ vs Singapore Airlines
Focus: Long-haul premium pricing and loyalty value

THREE ANALYTICAL ENGINES

Engine 1 — Pricing

Fare benchmarking on two routes plus three-year yield and load factor trend analysis from audited annual reports

Engine 2 — Reliability

OTP trend comparison 2022–2024 (Cirium data) plus 787 grounding capacity impact model. OTP = 15-minute threshold standard.

Engine 3 — Loyalty

Points value and earn rate comparison across Airpoints, Qantas FF and KrisFlyer. Revenue-at-risk churn scenario model.

MATERIALITY THRESHOLDS

Price Premium >5%

Gap below 5% treated as normal market variance. Author-defined analytical judgement — not a regulatory benchmark.

OTP Gap >3pp

Reliability differential below 3 percentage points not considered commercially material. Air NZ vs Qantas gap (3.65pp) is material; Air NZ vs SQ gap (1.09pp) is not.

Churn >3%

Loyalty fragility threshold. Revenue exposure becomes structurally significant at 3% churn ($82.6M NZD). 5% threshold represents structural risk.

Data Hierarchy: Tier 1 — Audited annual reports and official press releases (carries the argument). Tier 2 — Cirium OTP, Skytrax, Australian Aviation (supporting). Tier 3 — Consumer reviews, points blogs (directional only). All materiality thresholds are author-defined analytical judgements documented in the Excel model Assumptions tab.

ENGINE 1: PRICING — YIELD & REVENUE TREND FY2023–FY2025

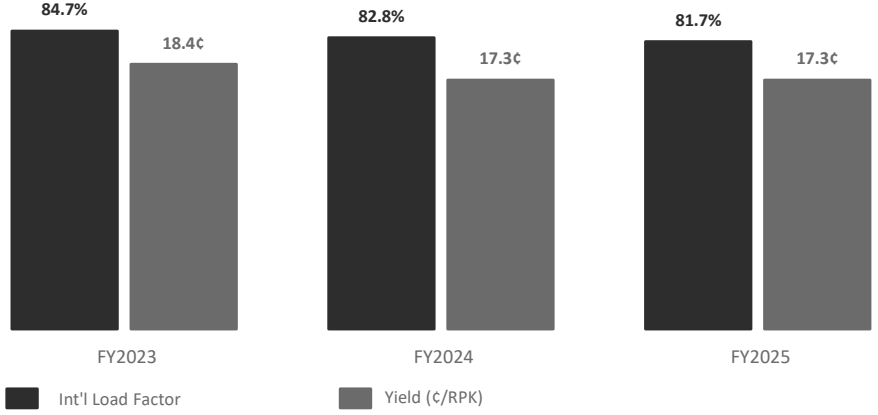
Period	Yield (¢/RPK)	Int'l Load Factor	Passenger Revenue	YoY Yield	YoY Revenue
FY2023	18.4¢	84.7%	$5.35B	—	+262%
FY2024	17.3¢	82.8%	$5.94B	−5.98%	+11.1%
FY2025	17.3¢	81.7%	$5.85B	0.00%	−1.53%

SOURCE

Air NZ Annual Reports FY2023, FY2024, FY2025.

Yield = cents per revenue passenger kilometre.

Yield & Load Factor Trend — FY2023 to FY2025



BUSINESS PREMIER ANNUAL REPORT COMMENTARY

FY2023

Business Premier Luxe retrofit of 14 Boeing 787s announced. Premium product investment signalled.

FY2024

"Softer corporate and government demand led to lower Business Premier loads and yields." — Air NZ Annual Report 2024

FY2025

Four retrofitted 787-9s re-entered service with positive feedback. Broader demand recovery ongoing.

Engine 1 Context: Three consecutive years of yield decline (18.4¢ → 17.3¢) combined with falling international load factors confirm pricing pressure is structural. Business Premier loads and yields explicitly acknowledged as softening in the Air NZ FY2024 Annual Report. Source: Air NZ Annual Reports FY2023–FY2025.

ENGINE 1: PRICING — FARE BENCHMARK COMPARISON

AKL–SYD | Air NZ vs Qantas

$1,150
Air NZ
Standard Business

$1,222
Qantas
Business Saver

PRICE PREMIUM: –5.89%

Air NZ is 5.89% CHEAPER than Qantas | ✓ MATERIAL — exceeds 5% threshold

	Air NZ	Qantas
Fare Type	Standard Business	Business Saver
Flexibility	Changes incur fee	Changes incur fee
Aircraft	Boeing 787-9	Various — mixed fleet
Verdict	Base comparison	✓ Comparable conditions

AKL–SIN | Air NZ vs Singapore Airlines

$4,358
Air NZ
Standard Business

$3,979
Singapore Airlines
Business Flexi + A380

PRICE PREMIUM: +9.53%

Air NZ is 9.53% MORE EXPENSIVE than SQ | ✓ MATERIAL — exceeds 5% threshold

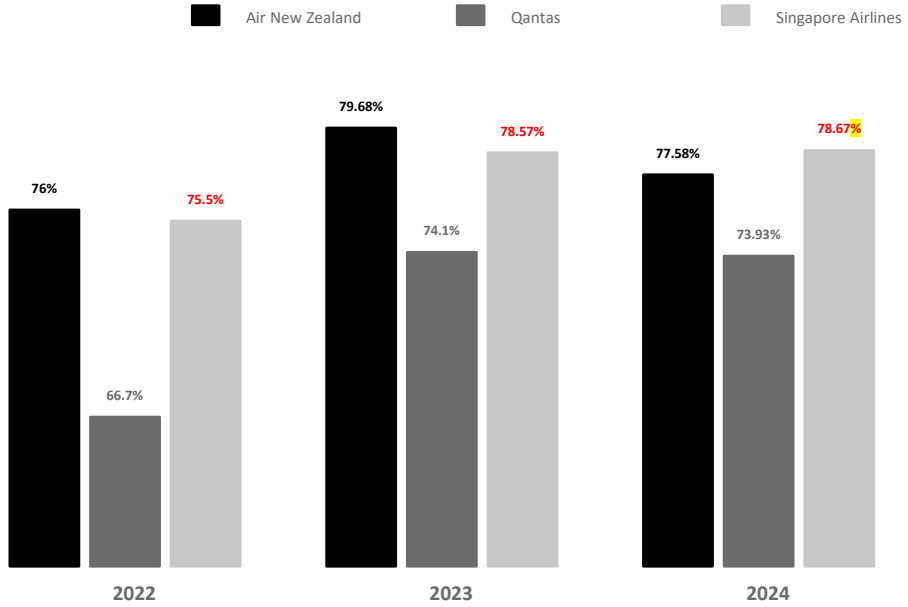
	Air NZ	Singapore Airlines
Fare Type	Standard Business	Business Flexi
Flexibility	Changes incur fee	FULLY FLEXIBLE as standard
Aircraft	Boeing 787-9	Airbus A380 — superior cabin
Verdict	**Higher price paid**	**Observed product indicators favour competitor at lower fare level**

Engine 1 Finding: Air NZ cannot command a pricing premium on AKL-SYD — it is 5.89% cheaper than Qantas. On AKL-SIN it charges 9.53% more than Singapore Airlines despite SQ offering fully flexible fares and an A380 cabin. Both findings exceed the 5% materiality threshold. Fares collected 25 February 2026 — point-in-time snapshot consistent with three-year yield trend.

ENGINE 2: RELIABILITY — OTP PERFORMANCE 2022–2024

OTP Performance Comparison 2022–2024

Source: Cirium annual OTP review and Australian Aviation. OTP definition: flights arriving within 15 minutes of scheduled time.



GAP ANALYSIS — 2024

Air NZ vs Qantas 2024

+3.65pp

✓ MATERIAL

Air NZ ahead — but gap narrowed from 9.3pp in 2022 to 3.65pp in 2024. Qantas recovering at pace. If current trend continues, parity projected within 2–3 years.

Air NZ vs Singapore Airlines 2024

–1.09pp

Below threshold

SQ marginally overtook Air NZ in 2024 (78.67% vs 77.58%). Gap is below 3pp materiality threshold but directionally unfavourable — Air NZ declined while SQ held steady.

Air NZ Internal — 2023 to 2024

–2.10pp

Below threshold

Air NZ declined from its own 2023 peak. Internal OTP pressure compounding simultaneously with 787 grounding and Business Premier yield softening.

Engine 2 Finding: Air NZ OTP declined from a 2023 peak of 79.68% to 77.58% in 2024. Material OTP advantage over Qantas (+3.65pp) is narrowing rapidly from 9.3pp in 2022. Singapore Airlines marginally overtook Air NZ in 2024. The primary concern is Air NZ's internal decline — not just competitor performance. Source: Cirium OTP Review 2022–2024.

ENGINE 2: RELIABILITY — 787 DREAMLINER GROUNDING IMPACT

3	209	69	14,390
Aircraft Grounded Simultaneously	Days Grounded 31 Mar – 25 Oct 2024	Business Premier Seats Lost Per Day (Est.)	Total Premium Seats Lost Modelled Estimate

ROUTES SUSPENDED DUE TO 787 GROUNDING — COMMERCIAL IMPACT

AKL–ORD Auckland to Chicago — **31 Mar – 25 Oct 2024 | 7 months**

Only non-stop service between New Zealand and Chicago. Highest yield premium long-haul business route suspended entirely.

AKL–ICN Auckland to Seoul — **April 2024 – Early 2025 | ~9 months seasonal**

Growing premium Asia market route cancelled for full season. Impacted yield on Air NZ Asia network during critical recovery period.

AKL–HBA Auckland to Hobart — **5 April 2024 onwards | Extended period**

Regional route paused to redeploy limited 787 capacity to higher yield long-haul routes during grounding period.

Capacity Model: 3 aircraft × 27 Business Premier seats (SeatGuru V2) × 85% load factor = 69 seats/day. 69 × 209 days = 14,390 total estimated premium seats lost. Aircraft count from Air NZ press release March 2024. 85% load factor is industry standard assumption. Actual commercial impact may differ — labelled as modelled estimate throughout.

Engine 2 Finding: The 787 grounding removed an estimated 14,390 Business Premier seats over 209 days — the exact period when yield was already declining and Business Premier demand was explicitly softening per the Air NZ FY2024 Annual Report. Source: Air NZ Press Release March 2024; SeatGuru 787-9 V2 configuration.

ENGINE 3: LOYALTY — PROGRAMME VALUE COMPARISON

4.2M	4.6M	5.0M	250K
Members FY2023	Members FY2024 +9.52% YoY	Members FY2025 +8.70% YoY	Est. Elite Members 5% assumption FY2025

POINTS VALUE — PER UNIT NZD

Airpoints	Airpoints Dollar	**$1.00 NZD**
Qantas FF	Points (per point)	**$0.02 NZD**
KrisFlyer	Miles (per mile)	**$0.02 NZD**

Source: Point Hacks independent valuations. Tier 3 — directional benchmarks only.

LOYALTY RETURN AS % OF FARE PAID

AKL-SYD · Air NZ	**4.83%**
AKL-SYD · Qantas	**4.42%**
AKL-SIN · Air NZ	**4.89%**
AKL-SIN · SQ	**3.94%**

SATISFACTION PROXY — SKYTRAX RATINGS (Tier 2)

Air New Zealand	**5 / 10**	896 reviews
Qantas	**6 / 10**	1,993 reviews
Singapore Airlines	**7 / 10**	1,692 reviews

Engine 3 Finding: Airpoints returns 4.83–4.89% per flight vs Qantas 4.42% and KrisFlyer 3.94% — programme value remains competitive. Air NZ satisfaction is rated 5/10 vs Qantas 6/10 and SQ 7/10. Loyalty economics may be offsetting variability in experience metrics — the degree to which programme value alone sustains high-yield retention warrants monitoring. Source: Air NZ Annual Reports; Point Hacks; Skytrax.

ENGINE 3: LOYALTY — CHURN SCENARIO MODEL

SCENARIO A — RECOVERY

1% Churn

$27.5M

Annual Revenue at Risk NZD

Est. 2,500 premium members defect

Loyalty programme absorbs disruption period. OTP recovers toward 2023 peak. New Koru Lounge opens 2027 on schedule. High yield passengers retained through investment period.

Manageable — loyalty absorbing disruption

SCENARIO B — PLATEAU

3% Churn

$82.6M

Annual Revenue at Risk NZD

Est. 7,500 premium members defect

High yield passengers begin drifting to SQ on AKL-SIN and Qantas on AKL-SYD as experience gap persists during lounge construction disruption. Airpoints partially compensates but cannot fully retain.

Material risk — commercially significant

SCENARIO C — COMPOUNDING PRESSURE

5% Churn

$137.7M

Annual Revenue at Risk NZD

Est. 12,500 premium members defect

Compounding degradation across OTP, lounge disruption and Qantas new lounge accelerates premium churn. Loyalty programme value insufficient to offset structural experience gap across all three engines.

Commercial exposure — exceeds modelled fragility threshold

Model Assumptions:

250,000 est. elite members (5% of 5M FY2025 Airpoints members). Average fare $2,754 (mean of AKL-SYD $1,150 + AKL-SIN $4,358). 4 annual flights per premium passenger (industry standard). Revenue at risk = direct fare revenue only. Premium member base is estimated — Air NZ does not publicly disclose elite tier membership separately. All assumptions documented in Excel model Assumptions tab.

Engine 3 Finding: Commercial exposure emerges at ~3% churn of estimated elite premium members (~$82.6M NZD annually). Scenario C at 5% churn reaches $137.7M. Revenue exposure remains material under reasonable assumption variation. Sensitivity range: $27.5M–$137.7M. Loyalty economics are competitive and may be offsetting experience variability — the degree of dependency warrants ongoing monitoring.

LOUNGE ANALYSIS — KORU LOUNGE AUCKLAND INTERNATIONAL

5 Stars	4.4 / 5	Overcrowding	Dec 2025
Skytrax Rating Product quality high	Google Rating Multiple independent reviews	Primary Consumer Complaint Pattern confirmed across reviews	Qantas New Lounge Opened Direct competitive pressure at AKL

CONSUMER SENTIMENT — GOOGLE MAPS REVIEWS | TIER 3 SOURCE — DIRECTIONAL ONLY

POSITIVE	**Food & Beverage Quality**	Wide selection of food and drinks consistently rated competitive vs other lounges. Hot food available. Multiple reviewers cite food variety as a genuine strength.
POSITIVE	**Runway & Tarmac Views**	Unique differentiator — tarmac and runway views cited as the single best feature by multiple independent reviewers. Not replicable by most competitors at AKL.
POSITIVE	**Staff Friendliness**	Service quality maintained across reviews despite capacity pressure. Staff friendliness consistently noted. Service is not the problem — capacity is.
NEGATIVE	**Overcrowding — Structural Issue**	"Absolutely packed — literally a line of people to get in." Most frequent negative theme across independent reviewers. Not incidental — pattern confirmed.
NEGATIVE	**No Tier Differentiation**	"Business class and Star Alliance gold all in one room — should differentiate tiers like at check-in." Business Premier passengers not separated from general Koru members.

INVESTMENT ANNOUNCED:

Two new Koru Lounges — nearly doubling capacity. Koru Premier for Elite + Business Premier only. Construction 2026, completion end 2027.

⚠ Capacity REDUCES before it improves — terrace seating removed Feb 2026. Qantas new lounge open NOW.

Lounge Finding: Koru Lounge holds a 5 star Skytrax rating and 4.4/5 Google score — indicating a strong product that is structurally underdelivered due to overcrowding and lack of tier differentiation. Consumer reviews independently confirm this as the primary pain point. Qantas new lounge (Dec 2025) creates immediate competitive pressure while Air NZ enters construction disruption.

LOUNGE ANALYSIS — COMPETITIVE CONTEXT & PREMIUM PROPOSITION SCORECARD

STAR ALLIANCE PARTNER IMPLICATION — SINGAPORE AIRLINES AT AUCKLAND

Singapore Airlines does not operate a dedicated lounge at AKL. SQ Business Class passengers on AKL-SIN ($3,979 fare) use the Air NZ Koru Lounge under Star Alliance. The same overcrowding and tier differentiation issues documented in consumer reviews affect both airlines' premium passengers — the pre-departure experience is identical for Air NZ and SQ Business Class at Auckland.

DIMENSION	AIR NEW ZEALAND	QANTAS	SINGAPORE AIRLINES
AKL-SYD Fare	$1,150 Standard Business	$1,222 Business Saver — Air NZ cheaper by 5.89%	N/A Does not operate AKL-SYD
AKL-SIN Fare	$4,358 Standard — no flexibility	N/A Does not operate AKL-SIN	$3,979 Flexi + A380 — 9.53% cheaper than Air NZ
OTP 2024	77.58% ↓ Declined from 79.68% in 2023	73.93% ↑ Improving — gap narrowed to 3.65pp	78.67% ↑ Stable — marginally overtook Air NZ
Loyalty Return	4.83–4.89% Strongest return — Air NZ advantage	4.42% AKL-SYD — below Airpoints	3.94% AKL-SIN — lowest of three
Satisfaction	5 / 10 Lowest of three airlines — Skytrax	6 / 10 One point ahead of Air NZ	7 / 10 Highest — consistent premium delivery
AKL Lounge	Koru Lounge 5 stars — overcrowded. New lounge 2027.	New Lounge Opened Dec 2025 — immediate advantage	Uses Koru Star Alliance — exposed to same capacity issues

Competitive Context: Air NZ's clear advantage is loyalty return per flight. On pricing, satisfaction, lounge and OTP trajectory it is either behind or declining. Singapore Airlines is the clearest competitive threat on AKL-SIN — offering superior product at lower price with higher satisfaction. Qantas represents the trans-Tasman reliability erosion risk.

SCENARIO MODELLING — THREE FORWARD-LOOKING OUTCOMES

All scenario inputs drawn exclusively from Engine 1, 2 and 3 findings. No new assumptions introduced. Scenarios represent plausible outcomes — not forecasts or predictions.

Scenario	Revenue at Risk	OTP Trajectory	Lounge	Loyalty	Overall Assessment
Scenario A Recovery 1% churn	**$27.5M**	Recovers toward 79.68% peak	New lounge opens 2027 on schedule	Airpoints absorbs disruption	Loyalty intact — experience improves by 2028
Scenario B Plateau 3% churn	**$82.6M**	Flat at 77.58% — no recovery	Construction disruption — capacity falls further	High yield drift begins at margin	Gradual yield erosion over 2–3 years
Scenario C Structural Erosion 5% churn	**$137.7M**	Declines — Qantas achieves parity	Disruption + Qantas lounge = active churn driver	Loyalty insufficient to offset compounding gap	$110M gap vs Scenario A — structural risk

THE COMMERCIAL COST OF INACTION: The difference between Scenario A (Recovery) and Scenario C (Structural Erosion) is approximately $110M NZD in annual direct fare revenue — before accounting for ancillary revenue, Airpoints programme costs, and indirect network effects.

Scenario Note: Scenario A requires OTP recovery, lounge completion on schedule, and continued Airpoints investment. Scenario B reflects current evidence trajectory. Scenario C reflects compounding failure across all three engines — unlikely as a single event but structurally possible if corrective action is not taken. All assumptions documented in Excel model Assumptions tab.

If premium passengers experience a sustained 2.1pp OTP decline while paying a 9.53% fare premium over Singapore Airlines on AKL-SIN — and passenger satisfaction is already rated 2 points below SQ —

revenue vulnerability emerges at only 3% churn,

representing $82.6M NZD at risk annually.

Loyalty is retaining passengers despite the experience — not because of it.

That is an increasing commercial dependency that warrants monitoring.

X — Reliability Gap

2.1pp OTP Decline

Engine 2 — Cirium OTP data

Y — Fare Premium

9.53% over SQ on AKL-SIN

Engine 1 — fare benchmark

Z — Churn Threshold

3% = $82.6M at risk

Engine 3 — churn model

STRATEGIC RECOMMENDATIONS — THREE PRIORITY ACTIONS

Recommendations are commercially grounded in analysis findings only. These are analytical observations — not business directives. Presented in order of urgency.

01 Accelerate Lounge Tier Separation

IMMEDIATE

Observation: Consumer reviews independently confirm overcrowding and lack of tier differentiation as primary pain points. Business Premier passengers share constrained capacity with general Koru members. Risk if Unaddressed: Qantas new lounge (Dec 2025) creates immediate competitive pressure while Air NZ enters construction disruption — high-yield passengers exposed to visible experience gap. Time Horizon: Immediate to 24 months.

Evidence Base:

Lounge Analysis + Engine 3

02 Defend AKL-SIN Pricing Through Product Alignment

SHORT TERM

Observation: Air NZ charges 9.53% more than SQ on AKL-SIN. Observed product indicators — flexibility, aircraft, satisfaction — favour SQ at lower price. Yield declining for three consecutive years. Risk if Unaddressed: Pricing premium becomes increasingly indefensible as Business Premier Luxe retrofit progresses without addressing fare flexibility gap. Time Horizon: Short term — 12 to 24 months.

Evidence Base:

Engine 1 + Engine 2 + Slide 11 Scorecard

03 Monitor High-Yield Retention Through Airpoints Tier Data

ONGOING

Observation: Airpoints returns 4.83-4.89% per flight — competitive vs peers. Satisfaction rated 5/10 vs SQ 7/10. Loyalty economics are carrying increasing retention weight as experience metrics soften. Risk if Unaddressed: Commercial exposure of ~$82.6M annually at 3% churn — revenue exposure remains material under reasonable assumption variation. Time Horizon: Ongoing monitoring.

Evidence Base:

Engine 3 + Scenario Modelling

All three recommendations are derived exclusively from quantified findings in the analytical engines. No recommendation is made without a specific number behind it. Recommendation 1 is grounded in lounge consumer data and competitive timeline. Recommendation 2 in Engine 1 pricing gap. Recommendation 3 in Engine 3 churn model.

METHODOLOGY, LIMITATIONS & SOURCES

DATA HIERARCHY

Tier 1 — Primary Evidence

Air NZ Annual Reports FY2023, FY2024, FY2025. Official Air NZ press releases March 2024. Carries the analytical argument — audited and publicly attributable.

Tier 2 — Supporting Evidence

Cirium annual OTP review. Australian Aviation OTP data. Skytrax airline and lounge ratings. SeatGuru aircraft configuration. Supports and contextualises Tier 1.

Tier 3 — Directional Only

Point Hacks points valuations. Google Maps consumer reviews (Koru Lounge). Airlinequality.com. Directional evidence — not relied upon to carry the analytical argument.

KEY LIMITATIONS

Fare Data — Point in Time

Fares collected 25 February 2026 for travel 24 March 2026. Single snapshot — not average market pricing. Direction of finding is consistent with three-year yield trend from annual reports.

787 Grounding — Modelled

Capacity impact is a modelled estimate. Aircraft count from Air NZ press release March 2024. Seat count from SeatGuru V2. Load factor 85% is industry standard. Actual commercial impact may differ.

Premium Member Base — Estimated

Air NZ does not disclose elite tier membership separately. 5% of 5M total Airpoints members used as industry standard proxy. Churn revenue figures are directional estimates only.

SOURCES CITED

Tier 1 Sources

Air NZ Annual Report FY2023. Air NZ Annual Report FY2024. Air NZ Annual Report FY2025. Air NZ Press Release March 2024. Air NZ Lounge Investment Announcement 2025.

Tier 2 Sources

Cirium Annual OTP Review 2022–2024. Australian Aviation OTP reporting. Skytrax airline quality ratings. Skytrax lounge ratings. SeatGuru 787-9 V2 configuration.

Tier 3 Sources

Point Hacks — Airpoints Dollar and KrisFlyer mile valuations. Google Maps — Koru Lounge International AKL. Airlinequality.com — airline passenger reviews.

THESIS ANSWER: Air NZ's premium pricing is not consistently supported by a premium experience. On AKL-SYD it is priced below Qantas while delivering lower satisfaction. On AKL-SIN it charges 9.53% more than Singapore Airlines while offering inferior flexibility, aircraft and satisfaction. OTP is declining, fleet grounding removed 14,390 estimated premium seats, and Airpoints — while competitive — is the primary retention mechanism for passengers showing early signals of experience dissatisfaction. The loyalty risk is real, quantifiable, and carrying increasing commercial dependency at current trajectory.

AREAS FOR FURTHER DEEP-DIVE

01 Corporate Contract Pricing Analysis

This analysis uses published retail fares as a point-in-time benchmark. Corporate contract pricing — which represents a significant portion of Business Premier revenue — may differ materially. A deeper analysis of corporate fare structures would strengthen or qualify the pricing divergence findings.

02 Tier-Specific Retention Data

Air NZ does not publicly disclose elite tier membership separately. The 5% premium member estimate used in this model is an industry standard proxy. Access to Airpoints Elite and Gold tier retention data would allow a more precise churn model and materially improve confidence in the revenue exposure estimates.

03 Route-Level Premium Yield Segmentation

The yield and load factor data used is network-wide from Air NZ Annual Reports. Route-level yield segmentation — particularly isolating AKL-SYD and AKL-SIN Business Premier yield separately — would enable more precise pricing analysis and reduce reliance on point-in-time fare benchmarks.

04 NPS vs Churn Correlation

Skytrax and Google Maps ratings are used as satisfaction proxies — neither is premium-passenger specific, and NPS data is not publicly available for any airline analysed. Correlating NPS trends with actual premium churn data would significantly strengthen the loyalty risk argument and provide a more defensible commercial exposure estimate.

05 787 Fleet Recovery Trajectory

The grounding impact model uses a fixed 209-day period and static seat count. Actual fleet recovery trajectory — including Rolls Royce engine certification timelines, re-entry sequencing, and route reinstatement prioritisation — would allow a more dynamic capacity impact model and improve the reliability analysis in Engine 2.

These areas represent the primary limitations of the current analysis. Each represents a data access constraint rather than a methodological gap. The findings presented are defensible within documented assumptions — these deep-dives would extend and refine the analysis rather than invalidate it.